

# 11. SUPPLEMENTATION OF CONTRACT AND GOOD FAITH

INTRODUCTION TO THE LEGAL SYSTEM – MODULE I

A.y. 2024/2025

Prof. Pietro Sirena



# Un. 11

**Sirena, *Introduction to Private Law*, 3rd edition**

1. SUPPLEMENTATION OF CONTRACT
2. CONTRACT – CIVIL LAW AND COMMON LAW
3. BINDING FORCE OF CONTRACTS
4. CONTRACT AND OBLIGATIONS
5. SOURCE OF OBLIGATIONS



Università  
Bocconi  
MILANO



Università Commerciale  
Luigi Bocconi

# CIVIL LAW JURISDICTIONS

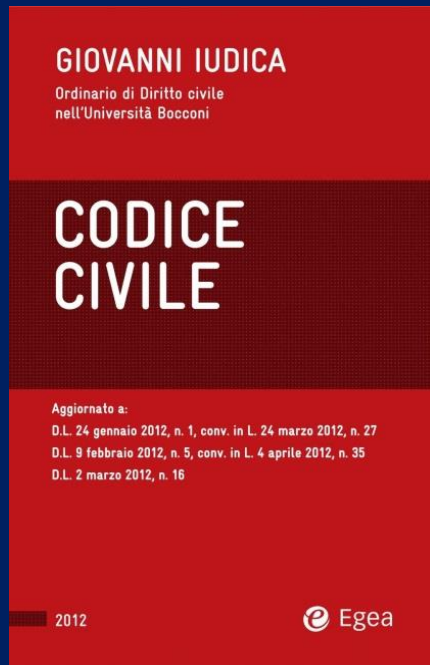
**IF NO APPROPRIATE GAP-FILLER IS TO BE FOUND  
IN THE CODES (OR OTHER STATUTES)**



**SUPPLEMENTATION OF CONTRACT**

*ergänzende Ausfüllung*  
*integrazione del contratto*

# SUPPLEMENTATION OF CONTRACT



## *Art. 1374 Supplementation of contract*

A contract binds the parties not only as to what they have expressly agreed, **but also to all that is stipulated by the law** or, in case no **provision is available**, **by the usage** and by the **equity**.



Good faith



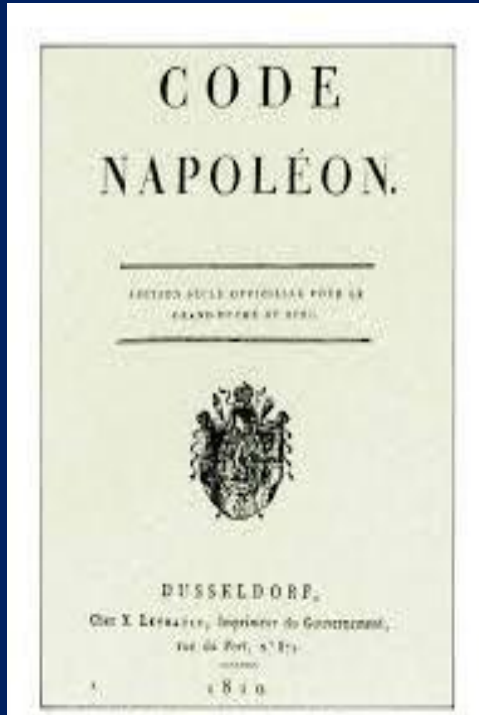
# GOOD FAITH IN THE CIVIL LAW



## § 242 *Performance according to good faith*

The debtor shall render the performance in the way it is necessary to comply with the requirement of good faith settled in usage

# GOOD FAITH IN THE CIVIL LAW



## Art. 1104 (as amended in 2016)

1. Contracts must be **negotiated**, formed and **performed** in good faith.
2. This provision is a matter of public policy.

Mandatory provision

# GOOD FAITH IN THE COMMON LAW

## ENGLISH COMMON LAW

- No general principle of good faith in general law of contract
- Adversarial position of the parties when involved in negotiations and performing their contractual obligations, **except for cooperative (commercial) contracts and fiduciaries**



Good faith

## AMERICAN COMMON LAW

- Significant role played by the requirement of good faith, **especially with regard to the performance of a contract**
- The same applies to other common law jurisdictions (as Australia, etc.)

# THE ENGLISH COMMON LAW

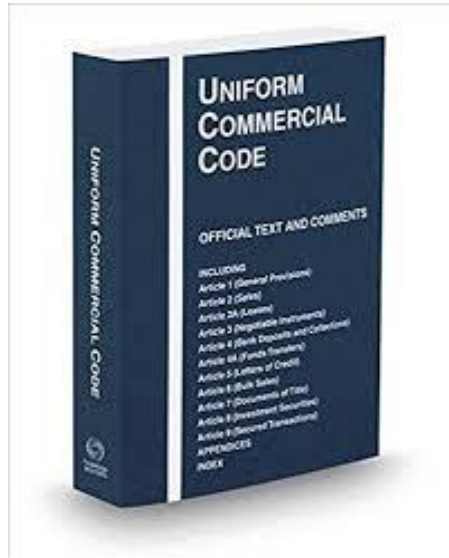
«*The recent history of the common law of contractual interpretation is one of continuity rather than change. **One of the attractions of the English law as a legal system of choice in commercial matters is in its stability and continuity, particularly in contractual interpretation***»

Lord Hodge JSC  
in  
*Wood v Capita Insurance Services Ltd*  
[2017] UKSC

UCC



Sirena, *Introduction*,  
ch. 6 para 3

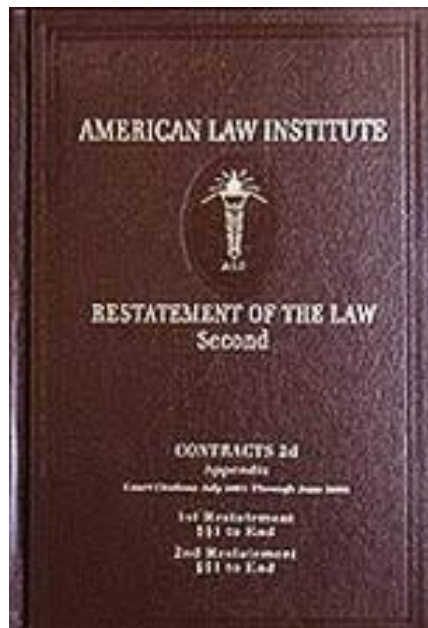


## Section 1-203

Every contract or duty within this Act imposes an obligation of good faith in its performance or enforcement.

# RESTATEMENT OF CONTRACTS SECOND

Ch 6 para 3



## § 205 *Duty of Good Faith and Fair Dealing*

Every contract imposes upon each party a duty of good faith and fair dealing in its **performance and its enforcement.**

## Yam Seng Pte Ltd v International Trade Corporation Ltd [2013] EWHC 111

Sirena, *Introduction*,  
ch. 6 para 3; ch. 4,  
para 1

- Through an agreement ITC granted Yam Seng the exclusive rights to distribute in duty free shops certain fragrances bearing the brand name 'Manchester United' in specified territories in the Middle East, Asia, Africa and Australasia.
- During the contractual relationship ITC:
  - authorized a different distributor (not Yam Seng) to apply in Singapore a lower retail price than the duty free price that Yam Seng was permitted to offer
  - misled Yam Seng about the issue, in giving false information about the price applied by the different distributor in Singapore



## EXCEPTIONAL CASE

Yam Seng sues ITC for breach in affirming the existence of an implied term according to which: *'[ITC] would not prejudice [Yam Seng]'s sales by offering the same products for sale within the same territories at a lower price than [Yam Seng] was permitted to offer'*.

Did ITC breach the contract?

Sirena, Introduction,  
ch. 6 para 3; ch. 4,  
para 1

✓ L.J. LEGATT

*'ITC was in breach of contract [...] in acting in bad faith in misleading Yam Seng about the steps taken to ensure that the domestic retail price in Singapore was not lower than the duty free price'*.

## **Bristol Groundschool Ltd v Intelligent Data Capture Ltd & ors [2014] EWHC 2145**

Between 1999 and 2009, the claimant (BGS) and one of the defendants (IDC) had an ongoing business relationship with the production and sale of training manuals for use by various civil aviation agencies. During this period, they signed two contracts (the 1999 Agreement and the 2001 Agreement) under which IDC provided static graphics for the manuals that BGS then produced and sold. BGS paid for and owned the copyright in the static graphics. In 2009, relations between BGS and IDC deteriorated. BGS initiated proceedings against IDC for breach of the 2001 agreement and for copyright infringement. IDC filed a counterclaim on similar grounds. One of the issues before the High Court was whether BGS had breached a general duty of good faith by accessing and downloading material from IDC's computer system in 2009 without consent and for the purpose of developing its own software system for IDC's static artwork (in alleged anticipation of IDC's breach of contract).

## Bristol Groundschool Ltd v Intelligent Data Capture Ltd

Richard Spearman QC (sitting as Deputy Judge of the Chancery Division) recognised the existence of a general duty of good faith into what the High Court termed a "relational contract"

**PRINCIPLE:** Spearman QC again concurred with Leggatt J [see YAM SENG decision], stating that *"good faith extends beyond, but at the very least includes, the requirement of honesty"*. He concluded that the *"relevant test"* is whether the conduct complained of *"would be regarded as "commercially unacceptable" by reasonable and honest people in the particular context involved"*.

**FINAL DECISION:** By downloading information from IDC's computers, BGS had knowingly disregarded IDC's rights and **breached** its duty of good faith. However, there were a number of mitigating circumstances, including the fact that the actions taken were precautionary, had a limited purpose, and had not caused any significant financial harm. For these reasons, Spearman QC concluded that **BGS's breach** did not "strike at the heart of the trust which is vital to any long-term commercial agreement" (citing Yam Seng) and **was therefore not repudiatory**

# CONTRACT DRAFTING IN THE COMMON LAW

- absence of a principle of «special contracts» and limited role of implied terms at statutes
- absence of general principles of good faith and co-operation between the contracting parties
- limited role for the court in case of serious supervening circumstances



- parties tend to draft their agreement in as much detail as possible, *to limit the scope of judicial interpretation*
- the content of the bargain shall be set out explicitly as far as possible, *in the interests of certainty*
- parties shall conduct *due diligence exercises and allocate risks as far as possible in the contract itself*

# DRAFTING INTERNATIONAL (COMMERCIAL) CONTRACTS

## BOILERPLATE CLAUSES

- Standardized clauses, generally put at the end of contracts, which govern the way in which they operate (e.g. notice procedures, amendment procedures, interpretation issues, dispute resolution mechanisms, etc.)
- That way, parties must not rely on the general system of law applicable to the contract they have concluded
- Therefore, that contract is autonomous and severed from any single jurisdiction and, thus, truly international